



The Multiplier Effect

ITC's architecture is evolving to power growth, strengthen value chains and support India's ambition to become a global manufacturing powerhouse

BY KRISHNA GOPALAN

EVERY ORGANISATION WITH a manufacturing scale has its own model. It evolves over time and, in today's world, inevitably incorporates key elements such as technology and AI to make the process more effective.

At ITC, they call it the Bharat Built Manufacturing architecture, which, according to its Chairman and Managing Director, Sanjiv Puri, has created world-class national assets across its FMCG, paperboards and packaging businesses, apart from export-oriented value-added agri processing. Its overall ecosystem has over 300 factories—including 45 owned plants—and an engagement with over 9,500 MSMEs.

"These large investments in modern facilities provide strong levers of competitiveness, resilience and local value-chain development," Puri told his shareholders at the most recent annual general meeting.

Puri's speech mentioned "manufacturing" a dozen times and said nearly 90% of ITC's value addition takes place within the country. It is well known that the agri and food processing industry has high employment-to-capital intensity. "Therefore, your company's 170 factories in this sector are a powerful economic multiplier, deepening inclusive farm-to-consumer value chains and linking farmers to domestic and global demand," he said.

The belief in the India story is evident from the company's medium-term capex plan of ₹20,000 crore. Puri said this would be "in areas with a multiplier effect."

In addition to eight factories commissioned recently, six more are in the pipeline. More recently, ITC concluded the ₹3,498 crore buyout of the pulp and paper business of Aditya Birla Real Estate Ltd, known as Century Pulp and Paper. Puri referred to this in his speech, saying this will reinforce ITC's leadership as India's largest integrated

ITC Chairman
and Managing
Director
Sanjiv Puri



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paperboards and paper business. The acquisition raises capacity by over 50% to 1.5 million metric tonnes.

"The newly established state-of-the-art moulded fibre products facility is pioneering complex engineering compostable solutions for single-plastic substitution for both domestic and global markets. As each of your company's businesses scales up in line with the ITC Next strategy, its manufacturing ecosystem component is poised to expand further, contributing to India's aspiration to be a global manufacturing powerhouse," he said. ITC's manufacturing engine continues to chug along. **BT**

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